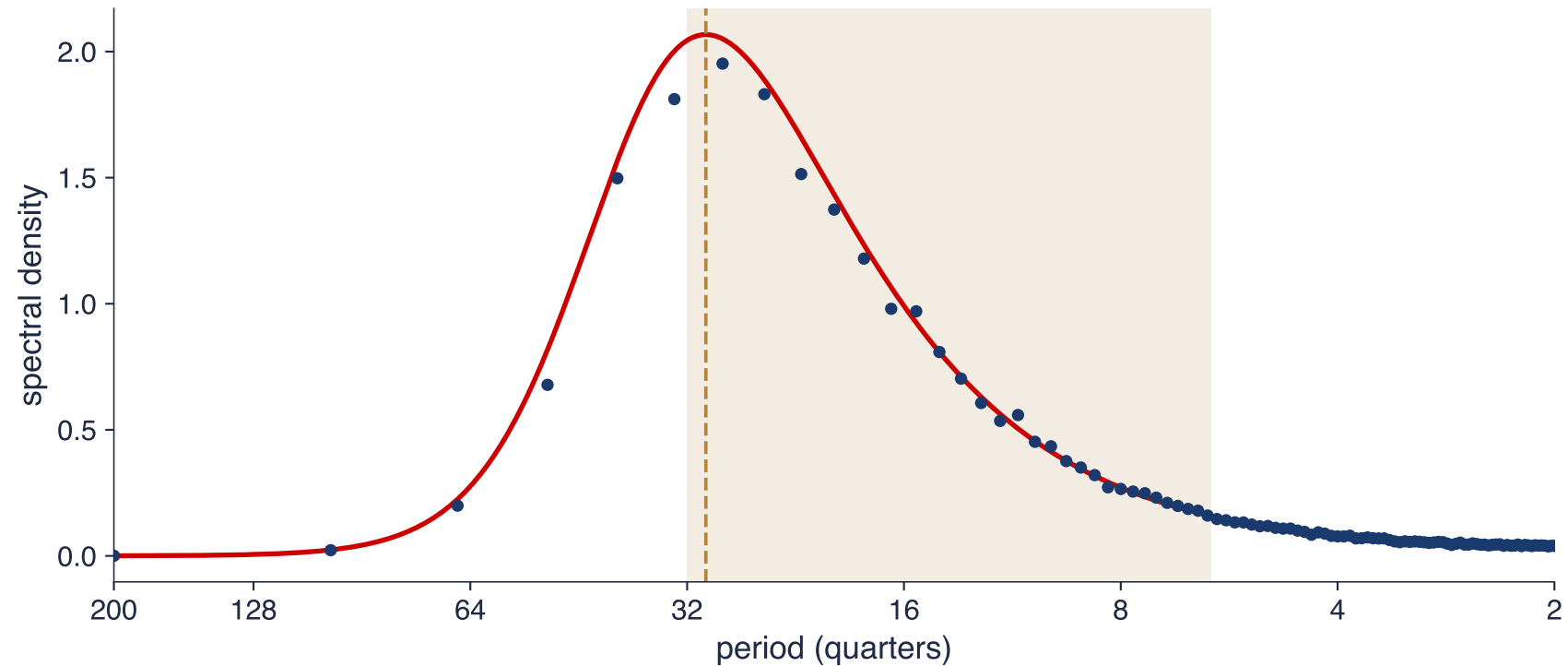




— theory: HP cycle of a random walk

• Monte Carlo mean periodogram (500 paths of 200 quarters)

- - - peak at 30.1 quarters

business-cycle band (6-32 quarters)